

Fuyao Glass (H/A)

2Q26 core earnings beat; execution intact despite softer demand

PO: 71.00 HKD | Price: 58.30 HKD

2Q26 revenue miss, GPM beat

Fuyao's 2Q26 revenue was RMB11.6bn, flat YoY and up 11% QoQ, missing BofAe by 5%. GPM improved 1.7ppt YoY to 40.2%, aided by U.S. tariff refunds; excluding a RMB148mn one-off benefit, adjusted GPM was 38.9% (+0.4ppt YoY). Operating profit rose 5% YoY to RMB2.8bn, 5% above BofAe. Net profit fell 19% YoY, missing BofAe by 4%, mainly due to a RMB360mn FX loss. Fuyao proposed an interim DPS of RMB1.0, implying a 65% payout ratio for 1H26.

Margin resilient despite ASP rebates and cost headwind

Fuyao's 1H26 auto glass revenue grew 3.8% YoY, with domestic and overseas sales increasing 4.8% and 2.6%, respectively. Adjusting for the tariff related one-off revenue deduction (RMB234mn) to ARD customer, overseas revenue would have grown 5.1% YoY. Automotive glass ASP rose 7.4% YoY in 1H26, or 8.7% YoY excluding the ARD impact. In 2Q26, GPM remained supported by 1) ongoing cost reduction initiatives and 2) favorable soda ash, energy, and freight costs, partly offset by 3) ASP rebates (1.15ppt) and 4) higher salary and depreciation expenses associated with newly added capacity.

Higher value-added product penetration support ASP

Fuyao's 2Q26 ASP growth of 7.4% YoY was supported by a richer product mix, with high value-added products accounting for 60% of revenue, up 8ppt YoY. Key contributors included panoramic sunroofs, HUD glass, dimmable glass, and insulated glass. Notably, overall dimmable glass product increased by 3.9ppt YoY.

Maintain Buy; new PO HKD71

We lower our 2026-28E revenue forecasts by 10% on average to reflect softer volume assumptions, while cut earnings estimates by 4% on average given resilient margin profile. As a result, our new PO for Fuyao-H /-A falls to HKD71/ RMB71 (from HKD75/RMB72). Reiterate Buy as we like Fuyao's defensive business model, strong execution and industry-leading market position despite a relatively subdued China auto sales environment.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	7,498	9,312	9,101	10,810	12,306
EPS	2.87	3.57	3.49	4.14	4.72
EPS Change (YoY)	33.2%	24.2%	-2.3%	18.8%	13.8%
Consensus EPS (Visible Alpha)			3.86	4.44	5.05
Dividend / Share	1.80	2.10	2.09	2.49	2.83
Free Cash Flow / Share	1.18	2.26	1.68	2.24	3.37
Valuation (Dec)					
P/E	19.07x	14.67x	14.37x	12.10x	10.63x
Dividend Yield	3.29%	4.01%	4.18%	4.96%	5.65%
EV / EBITDA*	11.54x	9.47x	8.58x	7.72x	6.80x
Free Cash Flow Yield*	2.45%	4.69%	3.49%	4.64%	7.00%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 11. Analyst Certification on page 5. Price Objective Basis/Risk on page 5.

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19 August 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	HK\$75.00	HK\$71.00
2026E EPS	3.67	3.49
2027E EPS	4.32	4.14
2028E EPS	4.90	4.72
2026E EBITDA (m)	14,165.5	14,210.2
2027E EBITDA (m)	15,848.4	15,796.7
2028E EBITDA (m)	17,749.0	17,934.4

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Stock Data

Rating (H Share)	BUY
Rating (A Share)	BUY
Price (H Shr / A Shr)	58.30 HKD / 57.90 CNY
Price Objective	71.00 HKD / 71.00 CNY
Date Established	19-Aug-2026 / 19-Aug-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	47.70 HKD- 86.00 HKD
52-Week Range	47.53 CNY- 74.58 CNY
Mkt Val / Shares Out (mn)	18,645 USD / 2,508.6
Market Value (mn)	146,252 HKD
Average Daily Value (mn)	20.44 USD
Free Float	100.0%
BofA Ticker / Exchange	FIGIF / HKG
BofA Ticker / Exchange	XFGIF / SHH
Bloomberg / Reuters	3606 HK / 3606.HK
Bloomberg / Reuters	600660 CH / 600660.SS
ROE (2026E)	23.7%
Net Dbt to Eqty (Dec-2025A)	-21.3%

ARD: Automotive Replacement Glass

ASP: Average Selling Price

HUD: Head-Up Display

CR

iQprofileSM Fuyao Glass (H/A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	39,252	45,787	47,170	52,259	59,863
Gross Profit	14,221	17,065	18,267	19,947	22,877
Sell General & Admin Expense	(4,355)	(5,077)	(5,273)	(5,627)	(6,446)
Operating Profit	8,336	10,331	11,125	12,366	14,158
Net Interest & Other Income	655	831	(220)	580	580
Associates	NA	NA	NA	NA	NA
Pretax Income	8,991	11,162	10,905	12,946	14,738
Tax (expense) / Benefit	(1,487)	(1,845)	(1,799)	(2,136)	(2,432)
Net Income (Adjusted)	7,498	9,312	9,101	10,810	12,306
Average Fully Diluted Shares Outstanding	2,610	2,610	2,610	2,610	2,610

Key Cash Flow Statement Data

Net Income	7,498	9,312	9,101	10,810	12,306
Depreciation & Amortization	2,224	2,535	3,085	3,431	3,777
Change in Working Capital	(2,627)	(316)	(70)	(2,403)	(1,276)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,467	524	4	0	0
Cash Flow from Operations	8,562	12,055	12,121	11,838	14,806
Capital Expenditure	(5,481)	(6,164)	(7,730)	(6,000)	(6,000)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	5,537	65	200	200	200
Cash Flow from Investing	56	(6,099)	(7,530)	(5,800)	(5,800)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(3,393)	(4,698)	(5,480)	(5,461)	(6,486)
Cash Flow from Financing	(3,358)	(5,170)	(5,280)	(5,261)	(6,286)
Free Cash Flow	3,081	5,891	4,391	5,838	8,806
Net Debt	(6,983)	(7,995)	(7,105)	(7,682)	(10,203)
Change in Net Debt	(7,436)	(1,309)	890	(577)	(2,521)

Key Balance Sheet Data

Property, Plant & Equipment	22,959	26,428	31,180	33,859	36,197
Other Non-Current Assets	3,892	4,288	3,982	3,671	3,357
Trade Receivables	10,891	11,834	9,877	14,177	13,377
Cash & Equivalents	18,785	19,274	18,584	19,361	22,081
Other Current Assets	6,728	8,237	8,734	9,900	11,014
Total Assets	63,254	70,062	72,356	80,968	86,026
Long-Term Debt	7,213	3,669	3,669	3,669	3,669
Other Non-Current Liabilities	2,367	3,275	3,275	3,275	3,275
Short-Term Debt	4,589	7,610	7,810	8,010	8,210
Other Current Liabilities	13,400	17,956	16,426	19,488	18,526
Total Liabilities	27,569	32,510	31,179	34,442	33,679
Total Equity	35,686	37,552	41,177	46,526	52,346
Total Equity & Liabilities	63,254	70,062	72,356	80,968	86,026

iQmethodSM - Bus Performance*

Return On Capital Employed	16.1%	18.3%	19.0%	19.9%	21.4%
Return On Equity	22.3%	25.4%	23.7%	26.3%	28.0%
Operating Margin	21.2%	22.6%	23.6%	23.7%	23.6%
EBITDA Margin	26.9%	28.1%	30.1%	30.2%	30.0%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.1x	1.3x	1.3x	1.1x	1.2x
Asset Replacement Ratio	2.5x	2.4x	2.5x	1.7x	1.6x
Tax Rate (Reported)	16.5%	16.5%	16.5%	16.5%	16.5%
Net Debt-to-Equity Ratio	-19.6%	-21.3%	-17.3%	-16.5%	-19.5%
Interest Cover	28.9x	32.1x	34.8x	38.6x	44.2x

Valuation (A-share)

P/E	20.15x	16.23x	16.60x	13.98x	12.28x
Dividend Yield	3.11%	3.63%	3.61%	4.29%	4.89%
EV / EBITDA*	13.39x	10.99x	9.95x	8.95x	7.88x
Free Cash Flow Yield*	2.12%	4.06%	3.02%	4.02%	6.06%

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Auto Parts

Company Description

Fuyao Glass is China's largest manufacturer of automotive glass for use by OEM and ARG customers, which contributed c.90% of the company's revenues. Fuyao also manufactures float glass, which is generally used in windows and also provides an adequate raw material supply of automotive grade float glass. Fuyao was initially listed on the Shanghai Stock Exchange in 1993 and on the Hong Kong Stock Exchange in 2015.

Investment Rationale

We have a Buy rating as we like: 1) Fuyao's ASP expansion together with mild volume growth, 2) resilient business model and industry leading position & market share.

Key Changes (A-sh)

(CNY)	Previous	Current
Price Obj.	72.00	71.00
2026E EPS	3.67	3.49
2027E EPS	4.32	4.14
2028E EPS	4.90	4.72

Earnings review & revisions

Exhibit 1: Quarterly comparison

Operating profit rose 5% YoY to RMB2.8bn, 5% above BofAe

RMB mn	2Q26 (A)	2Q26 (F)	Diff (%)	YoY	QoQ	1Q26	4Q25	3Q25	2Q25	1Q25
Revenue	11,558	12,114	-4.6%	0.2%	11.0%	10,413	12,486	11,855	11,537	9,910
COGS	6,916	7,608	-9.1%	-2.6%	6.1%	6,521	7,862	7,362	7,097	6,402
Gross profit	4,642	4,507	3.0%	4.5%	19.3%	3,892	4,623	4,493	4,440	3,508
Operating exp	1,798	1,799	-0.1%	4.4%	4.9%	1,713	1,970	1,816	1,721	1,483
Operating income	2,845	2,708	5.1%	4.6%	30.5%	2,179	2,654	2,677	2,719	2,025
Pretax Income	2,610	2,793	-6.5%	-21.1%	28.7%	2,028	2,585	2,783	3,308	2,486
Net Income	2,259	2,346	-3.7%	-18.6%	31.9%	1,713	2,249	2,260	2,777	2,031
Net Income attribute to shareholder	2,259	2,345	-3.7%	-18.6%	32.0%	1,712	2,248	2,259	2,775	2,030
EPS (RMB)	0.87	0.90	-3.7%	-18.6%	32.0%	0.66	0.86	0.87	1.06	0.78
GM	40.2%	37.2%				37.4%	37.0%	37.9%	38.5%	35.4%
Op. margin	24.6%	22.4%				20.9%	21.3%	22.6%	23.6%	20.4%
NM	19.5%	19.4%				16.4%	18.0%	19.1%	24.1%	20.5%
OPEX to sales	15.6%	14.9%				16.5%	15.8%	15.3%	14.9%	15.0%

Source: BofA Global Research estimates, company report

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Exhibit 2: New vs. old estimates

We lower our 2026-28E revenue forecasts by 10% on average to reflect softer volume assumptions, while cut earnings estimates by 4% on average

	2026F			2027F			2028F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated sales	51,689	47,170	-8.7%	58,044	52,259	-10.0%	66,534	59,863	-10.0%
Automotive glass - volume (mn sqm)	178	161	-9.5%	187	167	-10.8%	202	180	-10.8%
Automotive glass - ASP (RMB/sqm)	267	267	0.0%	286	286	0.0%	306	306	0.0%
Gross Profit	19,102	18,267	-4.4%	21,373	19,947	-6.7%	24,438	22,877	-6.4%
Operating Profit	11,109	10,885	-2.0%	12,686	12,126	-4.4%	14,480	13,918	-3.9%
Pretax income	11,489	10,905	-5.1%	13,506	12,946	-4.1%	15,300	14,738	-3.7%
Net Income before minority	9,594	9,105	-5.1%	11,278	10,810	-4.1%	12,776	12,306	-3.7%
Net Income attribute to shareholder	9,590	9,101	-5.1%	11,278	10,810	-4.1%	12,776	12,306	-3.7%
EPS	3.67	3.49	-5.1%	4.32	4.14	-4.1%	4.90	4.72	-3.7%
Key ratios (%)									
Sales growth	12.9%	3.0%		12.3%	10.8%		14.6%	14.6%	
EPS growth	3.0%	-2.3%		17.6%	18.8%		13.3%	13.8%	
Gross margin	37.0%	38.7%		36.8%	38.2%		36.7%	38.2%	
Operating margin	21.5%	23.1%		21.9%	23.2%		21.8%	23.2%	
Net margin	18.6%	19.3%		19.4%	20.7%		19.2%	20.6%	

Source: BofA Global Research estimates

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Exhibit 3: P&L summary

We expect 2H26 earnings to see YoY growth

(RMB mn)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26	4Q26	2026F
Revenue	9,910	11,537	11,855	12,486	45,787	10,413	11,558	12,210	12,989	47,170
Cost of goods sold	6,402	7,097	7,362	7,862	28,722	6,521	6,916	7,509	7,957	28,903
Gross profit	3,508	4,440	4,493	4,623	17,065	3,892	4,642	4,701	5,032	18,267
Promotion	299	326	321	382	1,328	324	326	330	390	1,369
Adm	683	850	896	975	3,403	806	843	894	987	3,530
R&D	423	460	510	520	1,913	506	527	531	546	2,110
Operating expenses	1,483	1,721	1,816	1,970	6,990	1,713	1,798	1,852	2,020	7,383
Operating income	2,025	2,719	2,677	2,654	10,075	2,179	2,845	2,849	3,012	10,885
Pretax income	2,486	3,308	2,783	2,585	11,162	2,028	2,610	3,044	3,223	10,905
Taxes or tax credit	455	532	523	335	1,845	316	351	548	585	1,799
Profit before minority	2,031	2,777	2,260	2,249	9,317	1,713	2,259	2,496	2,638	9,105
Minority interest	1	2	1	1	4	1	1	1	1	4
Net income	2,030	2,775	2,259	2,248	9,312	1,712	2,259	2,495	2,636	9,101
EPS (RMB)	0.78	1.06	0.87	0.86	3.57	0.66	0.87	0.96	1.01	3.49
Fully diluted shares (mn)	2,610	2,610	2,610	2,610	2,610	2,610	2,610	2,610	2,610	2,610
Operating Ratios										
Gross margins	35.4%	38.5%	37.9%	37.0%	37.3%	37.4%	40.2%	38.5%	38.7%	38.7%
Promotion	3.0%	2.8%	2.7%	3.1%	2.9%	3.1%	2.8%	2.7%	3.0%	2.9%
Adm	6.9%	7.4%	7.6%	7.8%	7.4%	7.7%	7.3%	7.3%	7.6%	7.5%
R&D	4.3%	4.0%	4.3%	4.2%	4.2%	4.9%	4.6%	4.4%	4.2%	4.5%
Operating margin	20.4%	23.6%	22.6%	21.3%	22.0%	20.9%	24.6%	23.3%	23.2%	23.1%
Pre-tax margin	20.5%	24.1%	19.1%	18.0%	20.3%	16.4%	19.5%	20.4%	20.3%	19.3%
Tax rate	18.3%	16.1%	18.8%	13.0%	16.5%	15.6%	13.4%	18.0%	18.2%	16.5%
Net margin	20.5%	24.1%	19.1%	18.0%	20.3%	16.4%	19.5%	20.4%	20.3%	19.3%
YoY %										
Revenue	12.2%	21.4%	18.9%	14.1%	16.7%	5.1%	0.2%	3.0%	4.0%	3.0%
Gross profit	7.8%	23.8%	16.1%	31.6%	20.0%	10.9%	4.5%	4.6%	8.8%	7.0%
Operating income	17.7%	31.3%	21.8%	20.6%	23.0%	7.6%	4.6%	6.4%	13.5%	8.0%
Net income	46.3%	31.5%	14.1%	11.4%	24.2%	-15.7%	-18.6%	10.4%	17.3%	-2.3%
Fully diluted EPS	46.3%	31.5%	14.1%	11.4%	24.2%	-15.7%	-18.6%	10.4%	17.3%	-2.3%
QoQ %										
Revenue	-9.4%	16.4%	2.7%	5.3%		-16.6%	11.0%	5.6%	6.4%	
Gross profit	-0.2%	26.6%	1.2%	2.9%		-15.8%	19.3%	1.3%	7.0%	
Operating income	-8.0%	34.3%	-1.6%	-0.9%		-17.9%	30.5%	0.1%	5.7%	
Net income	0.5%	36.7%	-18.6%	-0.5%		-23.9%	32.0%	10.4%	5.7%	
Fully diluted EPS	0.5%	36.7%	-18.6%	-0.5%		-23.9%	32.0%	10.4%	5.7%	

Source: BofA Global Research estimates, company report

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Price objective basis & risk

Fuyao Glass (FIGIF)

Our PO for Fuyao-H of HKD71 is based on 17x over avg 2026-2027E EPS which is in line with the company's historical average as we believe Fuyao's steady market share gain and increasing value-added content momentum to continue.

Downside risk: 1) fails to utilize its overseas manufacturing facilities fully, 2) auto market weakens, 3) Oil/gas prices shoot up, as energy costs are a major cost component, 4) Fuyao fails to execute its product mix upgrade and ASP improvement, 5) uptake of sunroof sales slows, 6) large RMB appreciation due to overseas revenue, 7) further development from the investigation could disrupt operation, and growth of its US subsidiaries.

Upside risks: 1) R&D breakthroughs in value-added glass products, 2) margin upside from an ASP increase, 3) faster vehicle penetration increase in China, 4) rapid scale-up in overseas plant utilization.

Fuyao Glass (XFGIF)

Our Fuyao-A PO of RMB71 is based on 17x over avg 2026-2027E EPS (same as our H-share valuation), plus 1-year average A-H premium of 9%.

Downside risk: 1) fails to utilize its overseas manufacturing facilities fully, 2) auto market weakens, 3) Oil/gas prices shoot up, as energy costs are a major cost component, 4) Fuyao fails to execute its product mix upgrade and ASP improvement, 5) uptake of sunroof sales slows, 6) large RMB appreciation due to overseas revenue, 7) further development from the investigation could disrupt operation, and growth of its US subsidiaries.

Upside risks: 1) R&D breakthroughs in value-added glass products, 2) margin upside from an ASP increase, 3) faster vehicle penetration increase in China, 4) rapid scale-up in overseas plant utilization.

Analyst Certification

I, Jessie Lo, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	ARCHION	XKBNP	543A JP	Shiro Sakamaki
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII IJ	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	CFMOTO	XCZOF	603129 CH	Joey Yang, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Desay SV	XGDFF	002920 CH	Joey Yang, CFA



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	EVE	XEVF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2525 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWf	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Momenta	XJAOF	6880 HK	Joey Yang, CFA
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGF	5991 JP	Shiro Sakamaki
	Ninebot	XNLTf	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Wuxi Lead	XLDF	470 HK	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA

NEUTRAL

	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTWf	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	VOYAH	XRITF	7489 HK	Ming Hsun Lee, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang

UNDERPERFORM

	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Ehang	EH	EH US	Fiona Liang
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Matheson SEA	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	SAIC Motor	XZNF	600104 CH	Ming Hsun Lee, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	ZSINF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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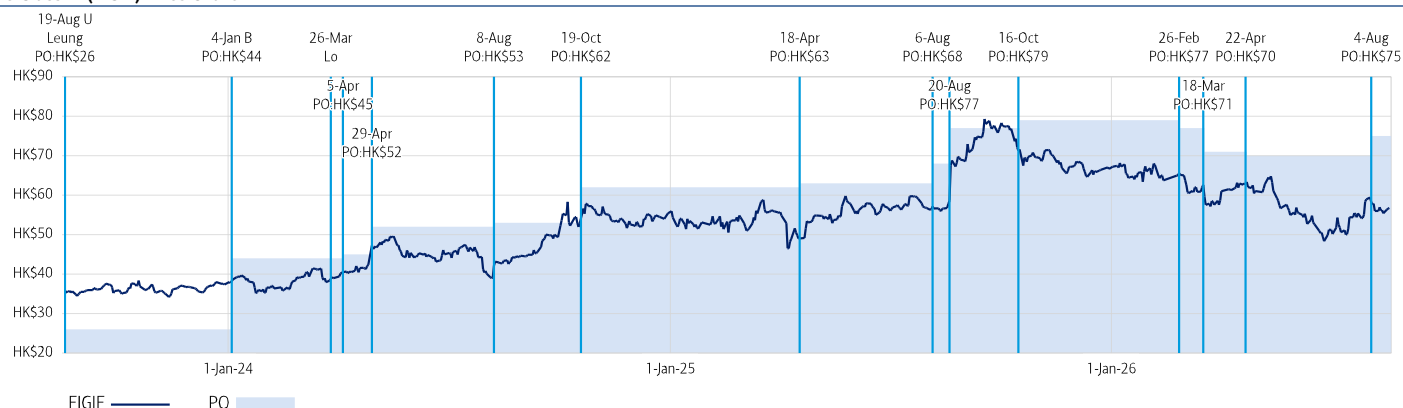
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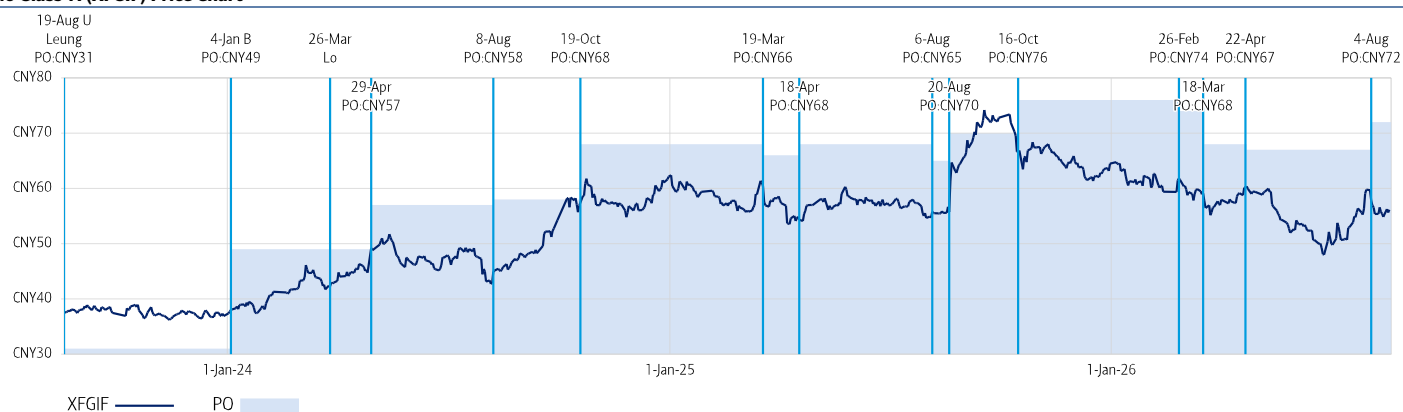
Fuyao Glass-H (FIGIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Fuyao Glass-A (XFGIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Autos Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	75	56.39%	Buy	41	54.67%
Hold	28	21.05%	Hold	18	64.29%
Sell	30	22.56%	Sell	17	56.67%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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